

Defined-Benefit Plans

Employer-sponsored, defined-benefit plans, also known as pensions, provide a guaranteed income for the rest of your life after you retire. The amount varies depending on your years of service with the company, your salary, and your age at retirement. Your employer uses an actuarial formula to arrive at the amount to put into the fund each year to ensure there's enough to meet the future retirement needs of its employees. All funds are mingled in one account managed by your employer.



By the time you reach retirement age, traditional pension plans may be a thing of the past. They're already being replaced or supplemented in large numbers by defined-contribution plans, which put more of the responsibility for retirement savings on you and less on your employer.
